

DATA COMMENTARY · AUGUST CPI & JULY FACTORIES

September 14, 2026

Inflation remains at 3% in August

Jay Zhao-Murray

Chief Economist

Thompson Richards

Economist

THE TAKE

“Inflation is set to pick up again in September after holding steady in August. Gas prices have already risen by 7 cents per litre since August, and Canadian counter-tariffs enacted last week will raise prices for imported goods.”

— JAY ZHAO-MURRAY · CHIEF ECONOMIST · SIBLEY CREEK

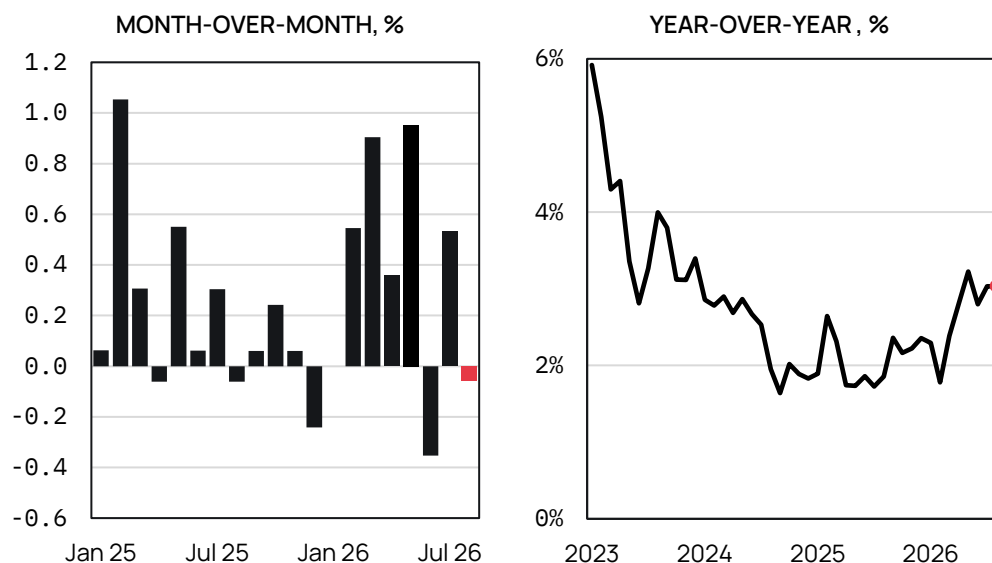
[Read the full commentary on the next page →](#)

Inflation holds at 3% in August

Canada's headline inflation rate held steady at 3% in August, a percentage point above the central bank's target. The bank's preferred measures of core inflation were unchanged, remaining anchored around 2%. Prices edged down 0.1% overall, though August is a seasonal down-month for prices. Adjusting for seasonality, the CPI rose 0.2%—a pace that would annualize to 2% if sustained.

The main upward drivers of inflation in August were rent (0.8% m/m), traveller accommodation (+5.1%), and telephone services (+1.6%). Downward drivers include fresh fruit (-6.5%), airfares (-3.3%), and gasoline (-0.9%).

Above target.



Source: Statistics Canada. Not seasonally adjusted.

Even with slight relief at the pump this month, gasoline is still the main culprit behind the headline rate's overshoot of the inflation target. Gas prices in August were nearly 23% higher than a year ago, averaging about C\$1.71 per litre across the country that month according to GasBuddy. Cheaper gas was short-lived: live tracking shows that prices have already risen about 7 cents per litre since August.

Grocery price hikes have slowed, with the pace of grocery inflation dropping below overall inflation for the first time in over two years (since July 2024). Groceries are 2.8% more expensive than a year ago, and 29% more expensive than five years ago.

Looking ahead, Canada's trade dispute with the United States is set to boost inflation pressures on imported goods as Canada's counter-tariffs imposed last week begin to take effect. Prices of consumer goods, such as furniture and appliances, should see a more immediate effect, while higher prices for primary and intermediate materials used in manufacturing will create more diffuse and longer lasting price pressures in Canada's supply chains.

Factory sales drop as higher prices cushion drop in volumes

Manufacturing sales fell 0.4% in July to C\$78.7 billion, ending a run of five consecutive monthly increases, though sales remain about 11% higher than a year ago. Sales fell in 8 of 21 subsectors, led by chemical products (-6.6%) and food manufacturing (-1.4%). The decline in food manufacturing followed a period of strong growth supported by increased U.S. demand and expanded trade with China.

These declines were partly offset by a 1.9% increase in petroleum and coal product sales, supported in turn by higher energy prices. Manufacturing volumes (-1.4%) fell more sharply than sales, indicating a larger decline in real manufacturing activity than the headline figure suggests, masked by higher prices.

Contact

Jay Zhao-Murray

Chief Economist

(613) 883-0774

jay@sibleycreek.ca**Thompson Richards**

Economist

(819) 328-2809

thompson@sibleycreek.ca**Khoi Pham**

Research Analyst

(506) 897-2466

khoi@sibleycreek.ca

Disclaimer

©2026 Sibley Creek. Sibley Creek is not a registered investment advisor. This report is for informational and discussion purposes only. Opinions expressed represent the good faith views of the author(s) as of the date of the report and may be subject to change at any time without notice. Opinions about future economic and financial market performance are based on assumptions, risks and uncertainties that may change over time. Sibley Creek does not guarantee the accuracy or completeness of the information contained in this report.

No mention of a particular security, index, derivative, or other instrument in the report constitutes a recommendation to buy, sell, or hold that or any other security, nor does it constitute an opinion on the suitability of any security, index, or derivative. You must determine, on your own behalf or through independent professional advice, the merits, terms, conditions, risks and consequences of any transactions described in this report. The author(s) may have a financial interest in any or all securities and instruments mentioned herein.